

fic



European Bank
for Reconstruction and Development



ANNUAL REPORT 2023

**FOREIGN INVESTORS
COUNCIL**

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INTRODUCTION

This report aims to provide an overview of the activities and achievements of the Foreign Investors Council Secretariat (FICS) for the year 2023. These activities are in line with the objectives set out in the Memorandum of Understanding signed between the Government of Uzbekistan and the European Bank for Reconstruction and Development (EBRD) in 2019, the Presidential Decree 4519 establishing the Foreign Investors Council (FIC) on November 13, 2019, and the Terms of Reference pertaining to the role of the Head of the Secretariat of the Investors Council.

Operating under the guidance of Presidential Decree 4519, the FIC has been key in identifying challenges and formulating specific proposals to enhance the investment climate in Uzbekistan. This has been achieved through the establishment of six permanent working groups, comprising leaders from various investor companies. These groups have been actively supported by representatives from international organizations and heads of diplomatic missions. The FIC's operational arm, the Secretariat, has been crucial in these endeavors, with funding provided by the EBRD.

Significant milestones have been achieved with the EBRD's assistance. Notably, a plenary session chaired by the President of the Republic of Uzbekistan, along with three interim sessions chaired by the Minister of Investments, Industry, and Trade, have been conducted. The council's next plenary session is scheduled for May 2, 2024.

One of the key events, interim session, held in August 2023, saw the council review the new version of the Investment Law, the Law on Special Economic Zones, the concept of the International Financial Center, and the proposal to enhance the accountability of tax officials for inaccurate tax calculations.

The roadmap with ten priority focus areas has been developed and submitted to the Cabinet of Ministers.

The proactive engagement of the working groups and the outcomes of the interim sessions have been important in pinpointing several key areas for the investment climate improvement.

THESE AREAS ENCOMPASS LEGISLATIVE IMPROVEMENTS IN:



Investment
activities



Special economic
zones



Privatization
efforts



Tax administration
practices



Moreover, these groups have also identified additional challenges encountered by foreign investors

The council's secretariat, through in-depth analysis, has identified 85 barriers and proposals, leading to the initiation of 6 thematic directions for the development of further proposals. This reflects the council's ongoing commitment to refining the investment environment in Uzbekistan, ensuring it remains conducive and attractive to foreign investors.

FIC OBJECTIVES



Advising the Government of Uzbekistan on key aspects of the country's investment, industrial, technological, and innovative development.



Direct participation in creating a favorable investment climate and effective mechanisms to stimulate both domestic and foreign entrepreneurs to invest in priority economic sectors and regions.



Ensuring effective interaction among state bodies and economic entities with foreign companies, banks, investment facilities, and international development organizations.



Identifying and analyzing key factors hindering investment attraction and investor activity.



Developing effective proposals to eliminate factors impeding investment processes through the joint efforts of state bodies, international development organizations, foreign companies, banks, investment, and other structures operating in Uzbekistan.



Assisting in the improvement of mechanisms to support exporters, e-commerce systems, creating favorable conditions for promoting domestic goods and services to international markets, forming efficient transport corridors, and modern logistical chains.



Implementing best international practices in the creation and use of modern quality management systems for products, enhancing their competitiveness, and supporting the use of advanced information and communication technologies.



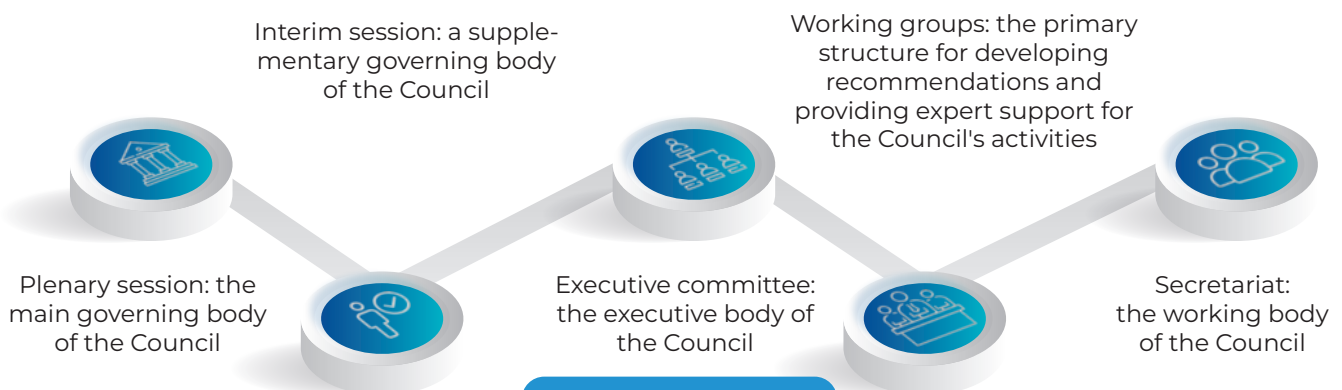
Drafting proposals and recommendations for further improvement of the legal framework in the field of investment activity regulation in Uzbekistan.



Determining priority directions and developing effective measures to enhance the international image and improve the positions of Uzbekistan in international rankings and indices.

ORGANIZATION OF THE FIC'S ACTIVITIES

THE COUNCIL OPERATES THROUGH THE FOLLOWING STRUCTURES



MEMBERSHIP REQUIREMENTS

A

A LEGAL COMPANY



To participate in the Council's work, a legal or physical person must meet at least one of the main (technical) criteria and at least two of the additional (qualitative) requirements



A branch or representative office of a foreign company in Uzbekistan



A joint venture with a foreign capital share of more than 30 percent



An enterprise with a staff of at least 15 employees providing consulting services predominantly to foreign investors in Uzbekistan.



An IFI, foreign association, representative, or educational institution that contributes to international economic cooperation and aligns with the goals of the Council



A foreign enterprise

B

AN INDIVIDUAL



(such as a public figure, scientist, diplomat, etc.) should significantly contribute to creating favorable conditions for increasing the inflow of direct foreign investments and the overall development of the country.



Have significant experience and an impeccable business reputation



Conduct activities significant for the economic and social development of Uzbekistan



Be actively involved in investment activities, including within Uzbekistan, and be prepared for strategic expansion



Actively participate in promoting the positive investment image of Uzbekistan abroad



Engage actively in the work of the Council's working groups

ORGANIZATION OF THE FIC'S ACTIVITIES

Council participants, except for employees of state bodies and organizations of Uzbekistan and the European Bank for Reconstruction and Development, must submit applications to the Council's executive committee in the prescribed form.

Applications should be sent separately to each member of the executive committee and reviewed within 15 calendar days.

Based on the submitted applications, the executive committee compiles a preliminary list of candidates for inclusion in the Council for subsequent presentation to the Chairperson of the Council for consideration.

The final composition of Council participants is approved by the Chairperson of the Council upon the recommendation of the executive committee.

The results of the plenary and interim sessions of the Council are documented in minutes, including a list of decisions and recommendations made.

During the plenary and interim sessions, Council participants discuss agenda items prepared by the Council's Secretariat based on the participants' proposals. Each session mandatorily reviews the implementation of decisions from the previous session. The agenda is also coordinated with the executive committee and the chairperson of the respective session prior to the session.

Agenda items are accompanied by relevant legal or economic analysis (studies, evaluations), as well as draft decisions (recommendations) in the form of reform concepts or draft regulatory acts.

The interim session of the Council has autonomous decision-making authority on par with the plenary session of the Council. Strategic issues are given the priority on plenary sessions.

THE COUNCIL'S EXECUTIVE COMMITTEE



The executive committee acts as the primary liaison between the Secretariat and the Chairperson of the Council.



Coordinates and provides organizational and practical support for the Council's work.



Directs the work of the Secretariat and assists in resolving interaction issues between the Secretariat and Council members.



Develops proposals for the composition of Council members for consideration by the Chairperson of the Council.

FIC SECRETARIAT

The Secretariat of the Council is an organizational unit established with the assistance of the European Bank for Reconstruction and Development (EBRD) representation in Uzbekistan. It is responsible for providing technical support for the Council's day-to-day activities.

The Secretariat:

Regularly consults with Council members and the broader investment community to identify and address priority issues within the Council's activities.

Organizes the work of the Council's plenary and interim sessions, working groups, and other activities. When necessary, with prior notification to the Council's executive committee, it invites third parties to participate in the Council's activities.

In collaboration with the executive committee and based on proposals from Council members and the broader investment community, Secretariat suggests agendas for the upcoming plenary or interim sessions of the Council for approval and sends materials related to agenda items to Council members and other invited participants at least 10 days before the session.

Initiates and facilitates the formation and functioning of the Council's working groups in cooperation with the executive committee, conducts relevant research, assessments, and reviews to ensure thorough preparation of issues and recommendations to be discussed at plenary or interim sessions.

Coordinates the Council's activities with relevant state bodies and organizations in Uzbekistan and organizes consultations with representatives of domestic and foreign companies on issues proposed for discussion at Council's sessions.

Assists in discussing and analyzing individual legislative and other regulatory initiatives brought to the Secretariat's attention and informs the Council about relevant proposals received for subsequent agendas.

Coordinates the Council's activities with the broader business community, state, and international partners to enhance the Council's prestige.

Prepares and sends session minutes to Council members for their approval within 5 working days after the corresponding plenary or interim session.

Conducts monthly monitoring of the implementation of decisions (recommendations) made at plenary or interim sessions of the Council and reports progress to Council members and other interested parties.

Informs the public about the Council's activities, including through the Investment Portal and other platforms, by posting agendas, minutes of plenary or interim sessions, and other materials related to the Council's activities.

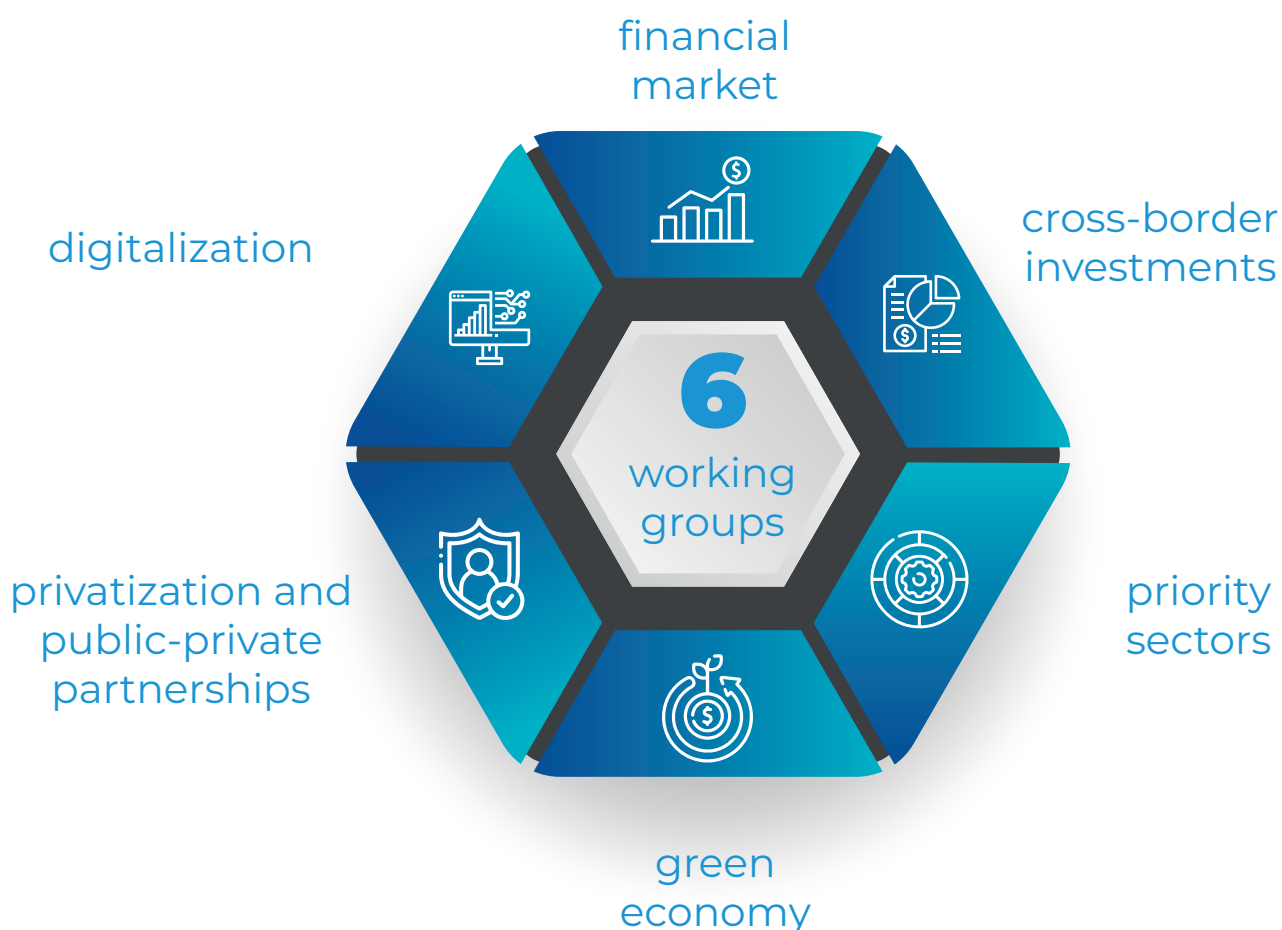
Maintains active interaction with the business community, business associations, donors, international organizations, representatives of foreign governments, and other national or international organizations operating in Uzbekistan.

Cooperates with other foreign institutes (councils) of foreign investors, exchanging best international practices.

Develops and distributes periodic publications with information about reforms and changes occurring in Uzbekistan in the field of improving the investment climate.

Performs other functions to effectively organize the Council's activities

WORKING GROUPS



Within these working groups, engaged stakeholders formulate proposals to improve investment legislation, the law on privatization, further development of PPPs, the improvement of tax administration, the introduction of modern solutions and new financial products that will contribute to expanding access of the business to financial resources and reducing their cost, as well as the introduction of market principles of regulation to improve the efficiency of economy sectors, and etc.

Regarding the draft law of Uzbekistan "On privatization", following the consideration of the document by the Council members, IFIs representatives and experts, comments and recommendations concerning the draft law were sent to Parliament of Uzbekistan.

With the regard to the introduction of modern solutions and new financial products, the Working Group, together with IFIs and international experts, continues to work on creation of legal framework to develop capital markets.

Minutes of all working group meetings are available in Working Group section of the FIC website.

WORKING GROUP “FINANCIAL SECTOR AND BANKING”

During the working group meeting on the financial sector and banking, several key discussion topics were raised. The first topic focused on the absence of legislation regarding partnership finance in Uzbekistan, despite the high demand for it. The proposal was made to conduct a detailed analysis and prepare a roadmap for the development of Islamic banking and finance in the country. The second topic emphasized the need for the development of regional cross-border payments and trade finance facilities, considering the significant growth in regional trade and cooperation in Central Asia. It was suggested to conduct an analysis and prepare a comprehensive proposal for the development of these systems.

Other important issues were also addressed during the meeting. One concern involved the lack of a framework to evaluate the charter capitals and offshore finance sources of international investors. A proposal was made to develop a framework that allows engagement with investors' charter capital from offshore sources and to use convertible loans to finance ventures. Additionally, the tax administration (predictability and improvement), access to finance, lack of financial instruments, underdeveloped financial markets, as well as the importance of mobilizing domestic resources for economic development through an amnesty of capital was highlighted. The meeting also identified the need for information sharing and collaboration with government agencies to resolve existing issues effectively.

During WG meetings the concept of Tashkent International Financial Centre, draft law on amendments to current legislation related to Islamic finance, the concept of development asset-based lending in Uzbekistan were presented by international consultants. The concept of Tashkent International Financial Centre, draft law on amendments to current legislation related to Islamic finance were discussed with line ministries during a special WG meeting, dedicated to these issues.



WORKING GROUP “PRIVATIZATION AND PPP”

The working group meetings addressed several important issues, including strengthening the capacity of PPP professionals and need to enhance information exchange practices at the government entities. The importance of incorporating international practices and environmental, social, and governance (ESG) requirements in projects was also highlighted. The proposal was made to conduct detailed discussions with line ministries to strengthen their capacity in PPP and develop an action plan related to them.

Another discussed topic was related SOE efficiency, with focus on limiting direct negotiations in privatization processes and implementing international best practices in corporate governance. Land allocation issues, the need for a city masterplan and energy balance, as well as adjusting utility tariffs to market rates were among the other topics raised during the meeting. It was also proposed introducing PPP principles in modernization of the irrigation system.

WORKING GROUP “DIGITIZATION AND ICT”

The working group covered various important topics, including the launch of a "single window" platform which is seen as a crucial step to develop a fully integrated electronic platform for investors. Proposals were made to launch the platform and establish a regulatory framework for startups.

Discussions also focused on digitalizing the energy sector, agriculture, utilities, and public services. The need for technical audits of existing infrastructure, data classification, GIS mapping, and coordination between line ministries was highlighted. Participants emphasized the role of the private sector in driving digitalization and sharing experiences. Proposals included abolishing trace and track requirements for nonvital industries, integrating banking services into gov-tech, improving access to information.

The discussions also recognized the importance of cybersecurity, data protection, and enhancing the IT environment. Cooperation in areas such as cyber security, Internet of Things, artificial intelligence, and building a security-aware culture was discussed. The promotion of digitization across all sectors, improving digital skills and literacy, as well as narrowing the digital divide were highlighted as key proposals. It was also mentioned that the introduction of remote ID would be vital for digital banking's further development.

WORKING GROUP “GREEN ECONOMY AND ENERGY”

The working group on Green Economy and Energy discussed various topics related to renewable energy and sustainability in Uzbekistan. The presentation by MIIT highlighted the progress made in renewable energy projects, with several solar and wind power projects nearing completion. The importance of hydro power as an efficient green energy source was emphasized, and participants proposed including national and regional hydro projects in new energy programs, suggested prioritizing sectors in draft investment and SEZ laws. Reforms in the energy sector, including the development of energy markets, climate budgeting, and affordable tariffs were also proposed. The introduction of green financial instruments such as green bonds and the reform of state-owned enterprises were discussed.

The meeting also touched the modernization of the energy sector in Uzbekistan, with a focus on the potential of hydro energy. Participants expressed their interest to support solar panel production and finance projects in energy efficiency improvement and clean energy in buildings. Local investors were encouraged to participate in infrastructure projects, and the importance of green financing was highlighted. The plans for a nuclear power plant project in Uzbekistan were still under consideration, and investors expressed their interest in staying updated on the status of the nuclear energy project.

THE WORKING GROUP “INVESTING ACROSS BORDERS”

The working group meeting on "Investing Across Borders" discussed various issues related to taxation, customs clearance, and regulatory processes that affect the investment climate in Uzbekistan. The FIC Secretariat launched quarterly surveys to monitor the investment climate. Participants highlighted concerns about the tax on increasing charter capital and the burden of accounting in Uzbekistan. Proposals were made to amend the tax code to exempt additional investments in charter capital from taxation, analyze and review the tax code to make it less burdensome, and reform the custom clearance system. Participants also suggested applying customs clearance based on the invoice, allowing firms from various sectors to fix the invoice price based on appropriate ISO certificates, and modernizing the risk management system of the State Customs Committee.

Other issues raised during the meeting included the outdated process of obtaining a certificate of conformity, the need for a "cash-based" approach to address VAT reimbursement issues, and the importance of simplifying the tax regime and tax administration. Proposals were made to give an unlimited period for the certificate of conformity for the same product, use a "cash-based" approach in accounting for VAT reimbursement, and take further steps to simplify the tax regime and harmonize domestic and international legislation regarding taxation. Special meetings of WG were dedicated to presentation of new drafts of Investment Law and Law on FEZ. The concept of new Investment Law was presented during the Interim session. All stakeholders actively participating in the process of drafting new Laws. The first draft of Investment Law was presented to ministries of Uzbekistan in November 2023.

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WORKING GROUP “PRIORITY SECTORS”

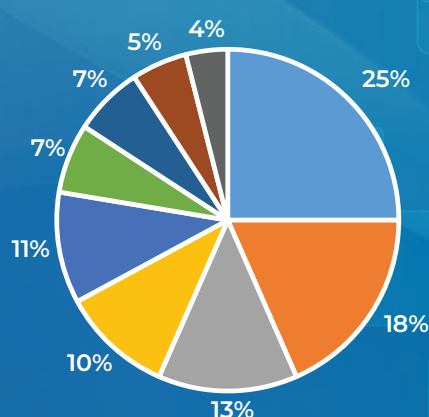


The working group addressed various issues and progress updates in priority areas such as finance, privatization, digitization, green economy, natural resources, agriculture, and investment across borders. The FIC Secretariat reported on established working groups and subgroups, conducted interviews with foreign companies, initiated research in key areas, and improved communication and outreach efforts. EBRD expressed support for the Foreign Investors' Councils and suggested addressing specific issues.

During the meeting, discussions covered topics such as cotton prices, environmental standards, land plot use rights protection, market development, and intellectual property rights. Participants emphasized the need to address these issues promptly to improve the investment climate in Uzbekistan and attract foreign investment. The impact of higher cotton prices on the demand for machinery and the challenges faced by European credit organizations were also highlighted.

FIC MEMBER INTERVIEW SUMMARY

The primary concerns of foreign investors were identified during the interviews with the working groups' members. Specifically, 25% of the issues were related to taxation and tax administration, 18% concerned with underdevelopment of financial markets and regulation, and 13% revolved around communication with government bodies, the low level of human capital, planning, predictability, risk management, and the judicial system.



- Taxation
- Strategic planning
- Trade
- Energy
- Certification and licensing
- Banking and Finance
- Other
- Agriculture
- Land management

FIRST PLENARY SESSION



Plenary session

On November 16, 2022 the First Plenary Session of the Foreign Investors Council chaired by President of Uzbekistan Shavkat Mirziyoyev, co-chaired by President of European Bank for Reconstruction and Development Odile Renaud-Basso was held at the «Kuksaroy» Residence.

Top managements of leading companies and banks such as «Suez», «Calik Holding», «Cengiz Enerji», «Halyk Bank», «VEON Group», «TBC Bank», «Abu Dhabi Fund for Development», «ACWA Power», «Zeppelin International AG», «EDF», «AME International», «CNH Industrial», «Youngone Corporation», «Procter & Gamble», «Mitsui», «Sojitz Generation DMCC», «KIA Motors», «General Electric», «John Deere», «Silverleaf», «Knauf», «White&Case», as well as representatives of international financial institutions - the World Bank, International Finance Corporation, Asian Development Bank and Islamic Development Bank attended the event.



WHITE & CASE



FIRST PLENARY SESSION



- Welcomed members of Foreign Investors Council and the invitees.
 - Provided up-to date information on pace of reforms in the country including achieved milestone reforms, investment attraction and presented opportunities for investments in support of private sector development.
 - Underlined importance of investments and developing private sector education and healthcare.
- Proposed creation of Permanent Committee on Foreign Investors Protection under the Council to protect the rights of investors with a view of introducing the best foreign practices and experience in Uzbekistan.
- Provided information on priority areas for reforms including financial sector, privatization and PPPs, mining sector, digitalization, green economy and decarbonisation.



FIRST PLENARY SESSION



- Thanked President Mirziyoyev for hosting the first plenary session and stated the importance of FIC as a platform for dialogue between foreign investors and the authorities, and in strengthening the investment climate in Uzbekistan.

- EBRD supports FIC Secretariats in ten other countries, where they have been addressing major bottlenecks and facilitating private sector development to drive growth and create jobs, and is committed to support the Uzbekistan FIC bringing best practices and experiences gained over the years.

- Active participation of FIC members in FIC working groups strengthens the business environment, proposing solutions to problems and presenting recommendations at the formal council meetings.

- EBRD invested in Uzbekistan €3.8 billion to date, with €2.5 billion in the last five years. This year we expect to get closer to €1 billion. Uzbekistan is now among the Bank's top five recipients of funding overall and over 50% of our portfolio investment is in the private sector.

- EBRD is providing policy reform advice in many areas including the energy sector (renewables), privatization, especially state-owned banks, capital markets, mining sector and SMEs strategy.

- EBRD requested the government to maintain an effective dialogue with the Foreign Investors Council.

FOREIGN INVESTORS STATEMENTS

01

Foreign investors advanced a number of ideas and proposals, including announcements of new investment projects in energy, construction, banking and finance, agriculture and other sectors. Investors highlighted how the reform agenda of the government has resulted in improved investment climate in Uzbekistan and facilitated in private sector development.

02

Specific recommendations included gov-tech, banking sector privatization, introduction of PPP mechanisms in agriculture sector, and other sectors of the economy.

03

Participating companies committed to take part in ongoing reforms through their participation in working groups and expanding

SECOND INTERIM SESSION

PREPARATORY PHASE AND ORGANIZATION

Long-awaited Interim session of The Foreign Investors Council took place on August 29, 2023. This high-profile meeting, attended by 150 international business leaders, diplomats, and key Uzbek officials significantly impacted discussions on international investments.



This session underscored Uzbekistan's economic progress and international partnership ambitions amid global economic shifts. Despite a decline in global investments in developing nations, Uzbekistan's reforms, favorable investment conditions, and advanced trade policies position it as an attractive investment destination. Recent initiatives like the formation of the Ministry of Investment, Industry, and Trade, liberalization measures, and proactive privatization have revitalized its economic landscape. The country's efforts to join the World Trade Organization (WTO) and enhance trade relations further demonstrate its commitment to global standards and economic diversity.

The Interim Session was chaired by Minister of Investments, Industry and Trade Laziz Kudratov and moderated by Alkis Drakinos, EBRD, Director, Head of Uzbekistan.

Minister highlighted:

- 1** VAT Reduction: 2023 saw a decrease in VAT to 12%, leading to 26,000 more value chain participants and reducing shadow activities.
- 2** Tax-Gap Elimination: Starting October 1, 2023, the tax-gap deduction in VAT refunds will cease.
- 3** Open Entrepreneur Rating: From January 1, 2024, high-rated entrepreneurs, as assessed by the Chamber of Commerce, Business-ombudsman, and industry, will avoid tax audits and receive prompt VAT refunds.
- 4** Suspension Abolishment: The temporary suspension of VAT taxpayer certificates will end.

SECOND INTERIM SESSION

Key discussions focused on Uzbekistan's efforts in updating investment laws, promoting privatization, and fostering public-private partnerships and a green economy.

The FIC's working groups have been instrumental in creating an attractive investment climate, ensuring transparency, and tackling challenges. The session concluded with an invitation to local and global investors to explore Uzbekistan's opportunities, aiming to drive sustainable growth and strengthen international ties.

The session featured insights from the IFC on the new Investment Law, PwC on tax administration, the EBRD on the Single E-Window platform, and international experts on the Tashkent International Financial Center.

- 1** Investment Legislation: A revised "Investments and Investment Activities" law will unify all investment agreements in Uzbekistan, including foreign investor rights and streamlined investor support.
- 2** Special Economic Zones: A new law will establish innovative zones with residential, social, and industrial facilities, private management, and comprehensive administration services.
- 3** Single-Window Platform for investors and business: An online platform in development with the European Bank for Reconstruction and Development to offer "one-stop" services to foreign investors
- 4** Tashkent International Financial Center: Development in progress with international inputs.

NORMATIVE LEGAL ACTS AND OTHER INITIATIVES DEVELOPED OR ADOPTED BY THE ACTIVE INVOLVEMENT OF THE FIC



The "Law on investments"

FIC Secretariat was actively involved in drafting of the new "Law on Investments", which marks a critical step towards addressing key challenges in the current investment climate. This reform is undertaken with the goal of achieving several key objectives. It aims to establish clear and foreseeable regulations for investments, fostering an environment conducive to investment that is transparent for both domestic and international investors.

The draft law seeks to enhance investment promotion while ensuring robust protection for investors. The necessity for this reform arises from identified problems such as the lack of clarity around international arbitration and investor protection guarantees, discrepancies with the provisions of Bilateral Investment Treaties, unclear regulations concerning private and public investments, and uncertainties in the application of investment regimes, including Private Public Partnerships and Product Sharing Agreements.

To address these challenges, the "Draft New Law on Investments" was prepared in collaboration with the Ministry of Investments, Industry, and Trade. Following its preparation, it was submitted to the government for further processing. As for the next steps in the reform process, the draft law is slated for circulation among the relevant ministries and agencies. The anticipation is that the new law will be officially adopted by the end of 2024, marking a significant milestone in the efforts to refine and enhance the investment landscape.

users, and introducing a comprehensive master plan that emphasizes integrated and mixed-use development within SEZs. The need for this reform was identified due to several pressing problems.

There were ambiguities in regulations affecting all participants, particularly in dispute resolution. Private enterprises were barred from operating within SEZs, as all zones were state-owned and managed. The absence of a unified regulatory body meant each SEZ was governed by its own administrative committee, leaving SEZ participants without centralized assistance for navigating public services.

Furthermore, the existing SEZs were primarily manufacturing zones, which limited diversity in their functional areas. To address these challenges, a draft of the "Special Economic Zones Law" has been developed in collaboration with International Financial Institutions (IFIs) and the Ministry of Investments, Industry, and Trade. As for the subsequent steps, the draft law will undergo a process of circulation among the relevant ministries and government agencies. The law is set for 2024, promising to bring about substantial improvements and benefits to the framework and operations of Special Economic Zones.



The "Law on Special Economic Zones"

FIC Secretariat was actively involved in drafting the "Law on Special Economic Zones", which represents a significant reform effort aimed at addressing and resolving multiple issues within the Special Economic Zones (SEZ) framework. The objectives of this reform include implementing transparent and predictable regulations for SEZs, enhancing the efficiency and productivity within these zones, establishing a centralized governance structure through the creation of a unified SEZ Authority for all



The "Law on Privatization"

The drafting of the new "Law on Privatization" is a crucial step towards reforming and enhancing the privatization process. This initiative is driven by a set of clear objectives, aimed at addressing specific issues within the existing framework. The reform seeks to strengthen the legal foundation of privatization efforts, ensuring that all activities are carried out with transparency and openness. It aims to guarantee equal opportunities and fairness for all participants involved in privatization processes and to minimize the state's economic intervention and dominance in the market.

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NORMATIVE LEGAL ACTS AND OTHER INITIATIVES DEVELOPED OR ADOPTED BY THE ACTIVE INVOLVEMENT OF THE FIC

The need for this legislative update arises from several critical issues. The current privatization legislation is deemed outdated, failing to align with contemporary economic realities. Moreover, privatization processes are fragmented, scattered across multiple bylaws without a central, cohesive legal document, leading to conflicting and contradictory provisions. In response to these challenges, the "Draft New Law on Privatization" has undergone thorough review by FIC Secretariat and has been submitted to the State Asset Management Agency and the Parliament for further consideration and processing.

The Law LRU-907, "On privatization of state property" was approved by the President of the Republic of Uzbekistan on February 14, 2024, and will go into effect from May 16, 2024. By addressing the outlined issues, the reform aims to create a more efficient, transparent, and equitable privatization landscape, which aligns with modern economic practices and principles.

Progress in Addressing Challenges:

 **Tax Administration:** Proposals aimed at reforming tax administration practices have been formulated and presented to the government.

 **Regulations:** Efforts are underway to enhance investment regulations, making them more conducive to business and investment.

 **Financial Markets:** A draft decree regarding the establishment of an international financial center has been prepared and forwarded to the president's office. A note on the introduction and facilitation of partnership finance has been submitted. Collaboration with International Financial Institutions (IFIs) is ongoing to develop asset-based lending instruments, aiming to diversify financial products and services available to investors.



Comprehensive study of investors (FIC members) issues

The comprehensive study of issues faced by members of the Foreign Investors Council (FIC) is a targeted initiative aimed at enhancing the investment climate. This effort seeks to identify and address systemic challenges that impede investor operations and confidence. The objectives of this reform are threefold: to pinpoint the systemic challenges faced by investors, to foster collaboration between investors and relevant government bodies for devising effective solutions, and to establish working groups that can draft recommendations for the government based on these proposed solutions. Major problems identified in this endeavor include issues with Tax Administration, Regulations, and Financial Markets. Each of these areas presents unique challenges that require tailored approaches and solutions.



Restrictions on capital movement

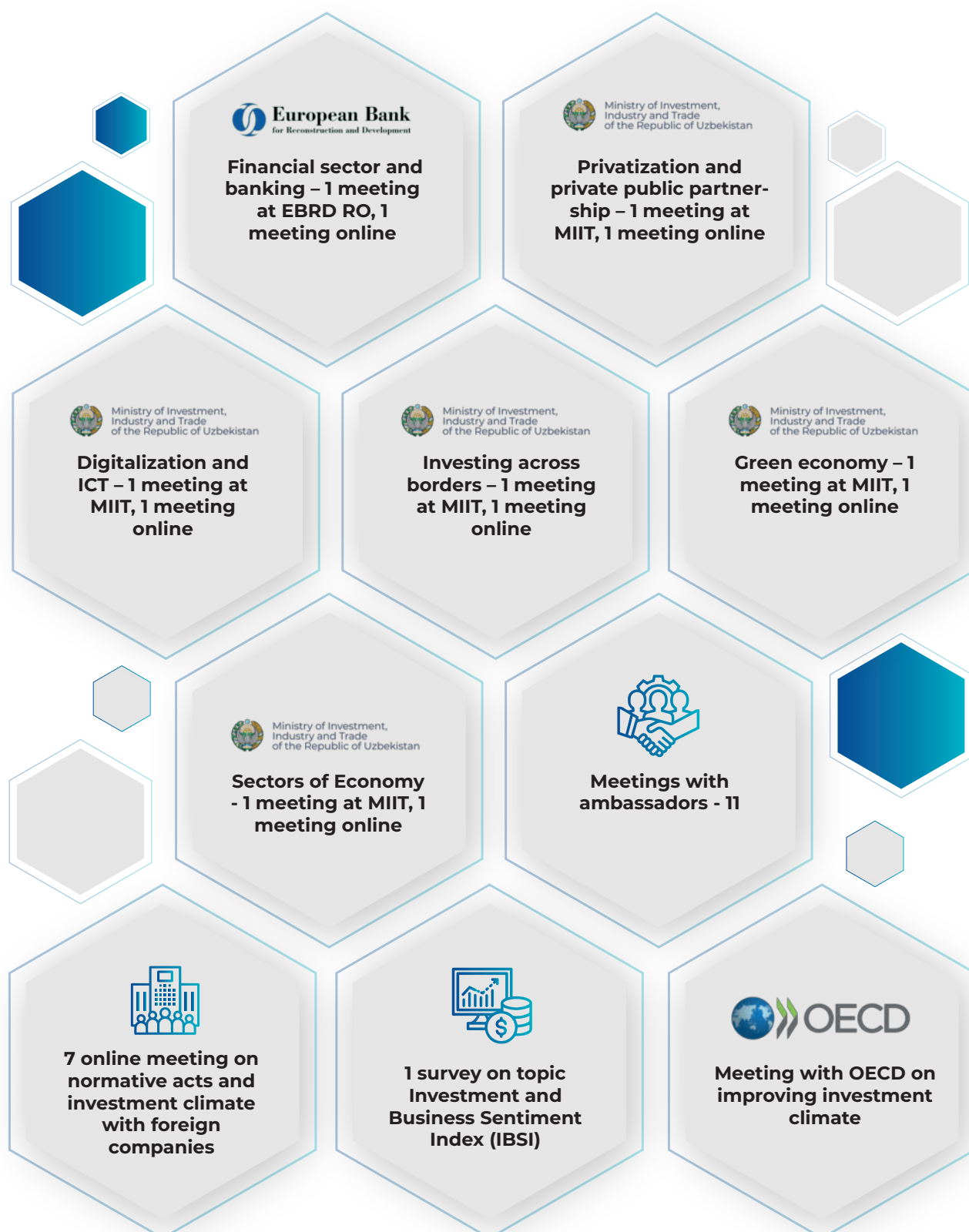
FIC Secretariat collaborating closely with its government counterparts to address the restrictions on capital movement. They are focused on revising the central bank's procedures that currently require investors to obtain prior approval for domestic-origin foreign transactions exceeding 10,000 USD. With the anticipated amendments, constraints on capital flows are expected to be relaxed, fostering a more investor-friendly environment in Uzbekistan.



VAT returns.

FIC Secretariat collaborating closely with its government counterparts to address the taxation challenges facing investors. They are concentrating on reforming the existing tax regulations to eliminate VAT on equipment imports intended for investment purposes. With the anticipated reforms, this tax relief is expected to incentivize investments, creating a more economically favorable environment for business expansion in Uzbekistan.

HIGHLIGHTS OF FOREIGN INVESTORS COUNCIL SECRETARIAT IN 2023



ACHIEVEMENTS OF THE SECRETARIAT DURING 2023

The Foreign Investors Council and its Secretariat are recognised and valued by key stakeholders as playing an important role in facilitating dialogue between the government and private sector on key investment climate challenges and in identifying solutions to address them. Key results achieved during 2023 include 10 regulatory legal acts and policy recommendations that were developed and/or approved at the initiative of the Investment Council aimed at improvement of business environment and investment climate, some of the highlights include:

- 1** New Investments Law is drafted in accordance with best international practices and service-centered approach to foreign investor and includes the following: front-office for primary level of interaction for the promotion of investors – MIIT and UzIPA; Back-office for secondary level interactions for the investment promotion– Khokimiyats and other state bodies; aftercare for FDI projects – by MIIT and UzIPA or by Khokimiyats and other state agencies in case of delegation. Establishment of minimum standards of investor treatment and protection of their rights: Fair and Equal Treatment (FET), Full Protection and Security (FPS), National Treatments (NT), protection from direct and indirect expropriation.
- 2** In cooperation with IFC and the Ministry of Investments, Industry and Trade the draft new "Special Economic Zones Law" was drafted. Main objectives of new law: Establish clear and reliable regulations for SEZs; Establish clear provisions for creation of new SEZs; Increase effectiveness of SEZs; Establish single SEZ Authority for all SEZ end-users; legal base for establishing privately managed SEZ; Introduction of master plan proxy of an integrated & mixed-use SEZs.
- 3** Law of the Republic of Uzbekistan "On Privatization of State Property" dated 14.02.2024, ZRU-907: The law outlines several methods through which privatization can be executed, including auctions, competitive bidding, public invitation to negotiations, competitive dialogue, exchange trading for blocks of shares, and incorporation of state shares into the authorized capital of enterprises. Additionally, the inclusion of property complexes into the authorized capital of joint-stock companies or limited liability companies, as well as the transfer for rent with subsequent privatization, are also provided as avenues for privatization.
- 4** Draft decree of the President of Uzbekistan on establishment of Tashkent International Financial Centre represents the conceptual model for the creation of the TIFC and involves comprehensive development of the national financial market and the improvement of the existing regulatory and legal environment of Uzbekistan. It includes provisions of special globally competitive services and support for investors on the premises of the TIFC. Tashkent International Financial Center is widely regarded as a comprehensive platform for supporting foreign investors as part of their activities in a country or region, as well as a tool for developing the financial market of Uzbekistan, including a significant focus on supporting the development of such promising areas as financial technologies and digital assets, corporate governance and sustainable development, green finance and Islamic banking.
- 5** Regulation on the procedure for providing Islamic finance services by microfinance organizations. In accordance with Articles 4 and 25 of the Law of the Republic of Uzbekistan "On Non-Bank Credit Organizations and Microfinancing Activities", a draft regulation on the procedure for providing Islamic finance services by microfinance organizations was developed and submitted to the Central Bank.
- 6** The Republic of Uzbekistan has adopted the Resolution "On measures to implement pilot projects to expand the list of goods subject to mandatory digital labelling" No. 322 dated 20 May 2021, with effective date for soft drinks as of March 1, 2022. Based on the Coca-Cola's proposal to revise the procedure for "mandatory digital labelling" of soft drinks, the effective date of this requirement has been extended for 1 year.

ACHIEVEMENTS OF THE SECRETARIAT DURING 2023

7 Further introduction of market principles in price formation of agricultural goods (cotton). Based on the "Silverleaf" company's proposal to revise cotton price formation, DPM J. Khodjaev had discussed the issue with investors, experts and line ministries. On 12.12.2023 Presidential Decree "On additional measures for further development of the free market relations in agricultural industry" №205 was adopted, according to which cotton price will be set via bidding process in the Uzbek republican commodity and raw materials exchange.

8 Introduction of Gov-Tech in Uzbekistan. Having practical experience in the implementation of Gov-tech projects, Halyk Bank proposed to develop this direction in Uzbekistan. In cooperation with FIC Secretariat and Ministry of Digitalization of Uzbekistan, Tenge bank (Uzbek branch of Halyk bank) started to introduce Gov-tech in Uzbekistan.

9 Improvement of effectiveness of public services to investors. EBRD in cooperation with MIIT and FIC Secretariat started project on implementation of "single window" platform for investors. Single Window Platform for investors and business: An online platform in development with the European Bank for Reconstruction and Development to offer "one-stop" services to investors.

10 63 Regulatory Proposals - FIC Secretariat organized individual consultations with locally operating consulting and legal firms. Practitioners, engaged in investment projects development and implementation shared insights on specific normative barriers that increase costs, delay, or outright discourage foreign investments. FICS collected, formatted, and clustered total of 63 proposals in areas such as commercial law, corporate governance, trade regulations, fiscal policy and tax administration, PPP, flow of capital, court system, financial instruments land management, ESG and others. The Secretariat is continuously coordinating further inputs to the lists with the MIIT while simultaneously collecting further proposals from FIC members and other engaged organizations.

WORK PLAN - 2024 OF THE FOREIGN INVESTORS COUNCIL UNDER THE PRESIDENT OF THE REPUBLIC OF UZBEKISTAN

I. General Investment Climate

Task	Scope of Work
Analysis on the Investment Climate.	Analysing existing legal restrictions on foreign investment in Uzbekistan, including a comprehensive review of all limitations and barriers ranked by their impact, alongside an overview of international best practices. This analysis will inform the development of specific policy recommendations.
Assessment of the Certification and Licensing.	Analysing certification and standardization mechanisms aimed at streamlining customs procedures and reducing processing times. This analysis will cover a situational analysis, an overview of international best practices, and the development of specific policy recommendations to further streamline procedures and cut processing times.
Review of Labor legislation.	Reviewing the Labor Code to better accommodate the needs of foreign investors. This review will include an overview of the key impediments faced by foreign investors, such as regulations on overtime work and the provisions for implementing flexible work schedules. It will also cover an overview of international best practices and suggest specific policy actions.
Assessment of Judicial practices.	Conducting a review of the digitization, transparency, and processes of court hearings and decisions related to investment activities. This review will outline existing barriers, highlight international best practices, and suggest solutions to enhance transparency and access to information.

WORK PLAN - 2024 OF THE FOREIGN INVESTORS COUNCIL UNDER THE PRESIDENT OF THE REPUBLIC OF UZBEKISTAN

II. Improving taxation and tax administration

Task	Scope of Work
Review of Taxation procedures.	Reviewing taxation procedures to simplify them, ensuring equal fiscal conditions for all business entities, and maintaining a competitive environment. This involves analysing international best practices and developing specific policy recommendations, along with a detailed overview of adopted practices.
Reviewing taxation practices for positive exchange rate differences on foreign exchange funds.	This involves reviewing the Tax Code and developing recommendations aimed at preventing the taxation of these positive exchange rate differences. The review will feature a situational analysis, an overview of international best practices, and specific policy recommendations to discontinue the current taxation practice on positive exchange rate differences of foreign exchange funds.
Assessing the tax burden on telecommunications infrastructure development funds.	This review will encompass a situational analysis, an overview of international best practices, and the development of specific policy recommendations aimed at reducing the tax burden on telecommunications infrastructure.
Analyzing VAT refunding procedures.	Reviewing VAT refund procedures to develop specific recommendations for streamlining the process. This review will include a situational analysis, an overview of international best practices, and specific policy recommendations to enhance the VAT refund system.

WORK PLAN - 2024 OF THE FOREIGN INVESTORS COUNCIL UNDER THE PRESIDENT OF THE REPUBLIC OF UZBEKISTAN

III. Shadow Economy

Task	Scope of Work
Assessing the scale and analyzing the factors of the shadow economy in Uzbekistan, leveraging findings from previously conducted research.	The analysis will encompass two main components: 1) A study and description of international experiences in assessing the scale and factors of the shadow economy, along with the applicability of these findings to Uzbekistan. 2) The collection and synthesis of existing data on the scale and factors of the shadow economy in Uzbekistan, drawing from research results of governmental and international organizations (e.g., the Ministry of Economy and Finance, the Central Bank, the Chamber of Commerce and Industry, the World Bank), surveys of entrepreneurs, and media materials.
Developing a methodology for sociological surveys aimed at assessing the scale and factors of the shadow economy.	Developing a survey methodology, including questionnaires, for business representatives, government agencies, and experts to gather data on the size and factors of the shadow economy, both at the industry and regional levels.
Assessing the scale and analyzing the factors of the shadow economy across several sectors of Uzbekistan's economy.	The sectors for research will be selected and agreed upon with the project management based on the preliminary results obtained "Assessment of the scale and analysis of factors of the shadow economy in Uzbekistan based on previously conducted research." The sectoral features of the shadow economy will be studied, recommendations will be presented on reducing the scale and legalization of shadow trafficking, including improving the regulatory framework.
Analysis of various areas of state economic regulation to identify factors that encourage businesses to transition into the shadow economy.	Research areas for government regulation will be selected and finalized in consultation with project management, based on the preliminary findings from the study "Assessment of the Scale and Analysis of Factors of the Shadow Economy in Uzbekistan," which is based on prior research. Potential areas for investigation include the tax burden and structure, tariff barriers to foreign trade, land relations in agriculture, and the scope and methods of state economic regulation, among others. Following the study, recommendations will be made to remove business barriers, decrease and legalize shadow transactions, and enhance the regulatory framework.

WORK PLAN - 2024 OF THE FOREIGN INVESTORS COUNCIL UNDER THE PRESIDENT OF THE REPUBLIC OF UZBEKISTAN

IV. Other Initiatives

Task	Scope of Work
Draft legislation acts based on policy recommendations.	Preparing draft legislation to implement the recommendations outlined in the report, accompanied by supporting documents. These include an explanatory letter detailing the rationale and significance of the proposed changes, a comparative letter contrasting old and proposed policies, and other relevant supporting materials.
Accreditation of branches.	Simplifying the accreditation procedure for branches of foreign commercial organizations.
FIC Regulations.	Enhancing the operations of the Foreign Investment Council (FIC), including updates to its regulations, and ensuring its sustainability. Enhancing the operations of the Foreign Investment Council (FIC), including updates to its regulations, and ensuring its sustainability.
Single Window for Investors.	Implementation of the 'Single Window for Investors'.

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PUBLICATIONS

The FIC Secretariat has undertaken extensive efforts to support investors in Uzbekistan. Through in-depth analysis, the Secretariat has compiled Investors Handbook in different topics aimed at providing valuable insights for potential investors interested in the Uzbekistan.

The FIC Secretariat has played an important role in analyzing and disseminating information on the investment climate of Uzbekistan. By offering valuable insights and assessments, these reports serve as valuable resources for investors seeking to capitalize on opportunities in Uzbekistan's dynamic market landscape.

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GOLIB KHOLJIGITOV

Head of the Secretariat

Golib Kholjigitov has 20 years of experience in investments, banking, and the public sector, with a proven track record of success in infrastructure investments in Uzbekistan. He specializes in project finance and investments in infrastructure projects in the power, healthcare, utilities, and transport sectors. During his tenure as Deputy Minister of Finance and head of PPP Development Agency from 2019 to 2021, Golib led a team of professionals and consultants to develop a portfolio of infrastructure projects (PPP, PFI) and worked actively with international investors to initiate, develop, and close investment projects.



AKMAL PRIMKULOV

PR Specialist

Akmal Primkulov has 6 years of extensive experience in the fields of public relations and marketing. In addition to the Ministry of Investments and Foreign Trade, he has held positions at a number of private businesses. Akmal has additionally organized a variety of events featuring leaders of the nation. His adeptness at engaging a diverse range of strategies empowers him to effectively execute a multitude of marketing-related responsibilities, such as media and public relations, brand development and promotion, and strategic planning. Akmal holds a bachelor's degree in World Policy from the University of Oriental Studies, Uzbekistan.



AVAZBEK MULLAJONOV

Economic Expert

Avazbek has more than 15 years of professional experience in the field of foreign economic relations, investments and energy. Before joining the FIC Secretariat Mr. Mullaionov served as the Deputy Head of Investment Climate Department and Head of Department for Cooperation with Turkish Republic at the Ministry of Investments and Foreign Trade of Uzbekistan. He also has expertise in energy, oil and gas sectors.

Mr. Mullaionov holds a master's degree in International Business from Ajou University and a master's in Management from the Tashkent State University of Economics.



MANSURJON RASULEV

Deputy Head of Secretariat

Mansurjon is a professional with experience in public administration, investments, international trade, agriculture, and Public-Private Partnership. Prior to joining FIC, Mansurjon worked as a GESI Manager and Policy Specialist in USAID Agribusiness Development Activity. During his time at the Ministry of Agriculture he led the working group of international and local events to develop the Strategy for the Development of Agriculture of Uzbekistan for 2020-2030.

Mansurjon is a PPP professional certified by APMG International, holds a bachelor's degree in Business Administration from the University of Westminster, UK.



GULNOZA USMONOVA

Administrative Assistant

Prior to joining the FIC Secretariat, Gulnoza served as an Administrative Assistant at the Embassy of Italy in Tashkent.

Gulnoza holds a bachelor's degree in English and Italian languages from Uzbekistan State University of World Language University, and certificates of different language and cultural programs from Perugia University in Italy.



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